

PUBLICATIONS DE LA COUR PERMANENTE DE JUSTICE
INTERNATIONALE

SÉRIE A — N° 11

Le 10 octobre 1927

RECUEIL DES ARRÊTS

AFFAIRE DES CONCESSIONS
MAVROMMATIS A JÉRUSALEM
(RÉADAPTATION)
(COMPÉTENCE)

PUBLICATIONS OF THE PERMANENT COURT
OF INTERNATIONAL JUSTICE.

SERIES A.—No. 11

October 10th, 1927

COLLECTION OF JUDGMENTS

CASE OF THE READAPTATION
OF THE MAVROMMATIS
JERUSALEM CONCESSIONS
(JURISDICTION)

LEYDE
SOCIÉTÉ D'ÉDITIONS
A. W. SIJTHOFF
1927



LEYDEN
A. W. SIJTHOFF'S
PUBLISHING COMPANY
1927

PERMANENT COURT OF INTERNATIONAL JUSTICE.

TWELFTH (ORDINARY) SESSION.

1927.
October 10th.
File E. c. XII.
Docket XII: 4.

Before :

MM. HUBER, <i>President</i> ,	
LODER, <i>Former President</i> ,	
Lord FINLAY,	
MM. NYHOLM,	
MOORE,	
ALTAMIRA,	
ODA,	
ANZILOTTI,	
BEICHMANN,	
NEGULESCO,	
M. CALOYANNI,	<i>National Judge.</i>

Judges,

JUDGMENT No. 10.

CASE OF THE READAPTATION OF THE
MAVROMMATIS JERUSALEM CONCESSIONS
(JURISDICTION).

The Government of the Greek Republic, represented by His
Excellency Monsieur Papas, Greek Minister at The Hague,

Applicant,

versus

The Government of His Britannic Majesty in Great Britain
(in its capacity as Mandatory for Palestine), represented by
Mr. A. J. Harding, C.B.E., of the Colonial Office,

Respondent,

THE COURT,

composed as above,

having heard the observations and conclusions of the Parties,

delivers the following judgment :

The Government of the Greek Republic, by an Application instituting proceedings filed with the Registry of the Court on May 28th, 1927, in conformity with Article 40 of the Statute and Article 35 of the Rules of Court, has submitted to the Permanent Court of International Justice a suit concerning the readaptation of the concessions granted to M. Mavrommatis, a Greek national, under agreements signed between him and the City of Jerusalem on January 27th, 1914, respecting certain works to be carried out at Jerusalem, which concessions the Court had, by Judgment No. 5, recognized as valid and as falling under the terms of Article 4 (and not of Article 6) of the Protocol signed at Lausanne on July 23rd, 1923, relating to certain concessions granted in the Ottoman Empire (hereinafter referred to as the Protocol of Lausanne).

In the Application it is submitted :

“That by delaying, regardless of the undertakings of the High Commissioner for Palestine, until the month of December, 1926, the approval, which should have been given in August, of the plans deposited by M. Mavrommatis on the preceding May 5th, and by thus preventing the putting into execution of the concessionary contracts concluded on February 25th, 1926, in substitution for those of 1914 (the validity of which the Court recognized by Judgment No. 5 and the readaptation of which in accordance with the Protocol of Lausanne it prescribed), the British Government has not complied with the terms of the Court’s judgment and consequently, in its capacity as Mandatory for Palestine, has violated its international obligations within the meaning of Article 11 of the Mandate, as this article has been construed by the Court ;

“That the delays above mentioned and the hostility displayed towards him by certain British authorities, by rendering it materially and morally impossible for M. Mavrommatis to obtain the financial assistance indispensable for the formation of the company for the operation of his concessions, which he had undertaken to form before February 25th, 1927, have done him irreparable injury the responsibility for which rests entirely on the British Government ;

"That the British Government is, consequently, bound to make adequate reparation for this injury, which is estimated on this date at a total sum of £217,000, with interest at 6% per annum from the date of filing of this Application until the date of payment."

In the Case filed with the Court on June 4th, 1927, the Applicant formulates his submissions as follows:

"(1) That by delaying, regardless of the undertakings of the High Commissioner for Palestine, until the month of December, 1926, the approval, which should have been given in August, of the plans deposited by M. Mavrommatis on the preceding May 5th, and by thus preventing the putting into execution of the concessionary contracts concluded on February 25th, 1926, the British Government, in its capacity as Mandatory for Palestine, has not complied with its international obligations under Article 11 of the Mandate;

"(2) That by these delays and by the hostility displayed towards him by certain British authorities—which delays and hostility were due to Mr. Rutenberg's opposition—it was rendered materially and morally impossible for M. Mavrommatis to obtain the financing of his concessions and that he has thus unjustly suffered damage, for the reparation of which the British Government must pay him compensation;

"(3) That having regard to the whole of the damage sustained by M. Mavrommatis, he should be awarded just and equitable compensation, namely, the sum of £217,000, together with interest at 6% from the filing of the Application until the date of payment."

These submissions have not been amended in the course of the oral proceedings.

The Application instituting proceedings was, in accordance with Article 40 of the Statute, communicated to the British Government on May 28th, 1927. On August 9th, 1927, that Government, which as from June 7th, 1927, had had at its disposal the Greek Case in the suit, filed with the Registry of the Court, in conformity with Articles 34 and 38 of the Statute, a Preliminary Objection to the Court's jurisdiction, in which it submitted that the Court had no jurisdiction and "asked the Court to dismiss the claim of the Greek Government upon this ground".

Under Article 38 of the Rules of Court, the Greek Government was invited to submit by August 26th, 1927, a written

statement of its observations and conclusions in regard to the objection to the jurisdiction taken by the British Government. In the Reply which was accordingly filed by it to that objection, the Greek Government, "being convinced that the standpoint of the British Government is inadmissible in every respect", asks the Court to "declare the objection to the jurisdiction to be ill-founded", to "dismiss it" and to "reserve the case for judgment on the merits".

Since, under Article 38 of the Rules, the remainder of the proceedings must be oral, the Court has, in the course of public sittings held on September 8th, 9th and 10th, 1927, heard the statements of Sir Douglas Hogg, His Britannic Majesty's Attorney-General, and of Counsel for the Greek Government, Professor Gidel and Mr. Purchase, and the reply made by the former, the Agent for the Greek Government having abandoned the right to submit an oral rejoinder.

THE FACTS.

The Court has previously had on two occasions to give judgment on questions concerning the concessions for the supply of water and electricity at Jerusalem, granted in January, 1914, to M. Mavrommatis by the Ottoman authorities, that is to say, in Judgment No. 2, of August 30th, 1924, and Judgment No. 5, of March 26th, 1925. In the first of these judgments the Court affirmed its jurisdiction to entertain a suit, brought on March 13th, 1924, by the Greek Government and based on Article 26 of the Mandate for Palestine, against the British Government, in so far as that suit, which also related to other concessions which it was alleged that M. Mavrommatis had obtained in Palestine under the Ottoman régime, related to the aforesaid concessions for works at Jerusalem.

By the second judgment, the Court, in the exercise of the jurisdiction thus established, decided amongst other things that the concessions in question were valid, and, in virtue of special jurisdiction conferred upon it by agreement between the Parties, decided that these concessions fell within the scope of Article 4 of the Protocol of Lausanne, that is to say, that the

concessionnaire was entitled to have them put into conformity with the new economic conditions prevailing in Palestine.

These judgments, which will be analysed later, in so far as they are relevant to the decision of the preliminary question which is now before the Court, set out in detail the facts in regard to the Mavrommatis concessions leading up to the submission to the Court of the Application of March 13th, 1924. In so far as these facts are relevant for the purposes of the present case, the Court refers to those judgments. The following subsequent facts have been taken from the documents annexed to the Greek Government's Case :

Following the judgment of March 26th, 1925, the two Governments concerned took certain steps, commencing in the following May, with a view to putting the Mavrommatis concessions into conformity with ("readapting") the new economic conditions. In July, 1925, the experts provided for under the Lausanne Protocol who were to arrange the terms of readaptation, had been appointed by the two Parties. It had already at an earlier date become clear that whereas M. Mavrommatis conceived "readaptation" to mean the readjustment of the various clauses of the existing concessions, the British authorities thought that it should take the form of the substitution for the concessionary contracts obtained in 1914 of new contracts, to be signed by the concessionnaire and by the new authorities of the country.

After lengthy negotiations, the two experts, on December 15th, 1925, were able to announce that they had successfully completed the work of bringing the old Mavrommatis concessions into conformity with the new economic conditions by means of substituting new contracts for the old ones. The new contracts were duly signed on February 25th, 1926, by M. Mavrommatis and by the Crown Agents for the Colonies acting for and on behalf of the High Commissioner for Palestine. The contracts, which were two in number, related respectively to the water concession and to the electricity concession. To these agreements was added another, on February 26th, 1926, authorizing the concessionnaire, notwithstanding the terms of the contracts of the previous day, to form a single company for the exploitation of the two concessions.

The contracts of February 25th, 1926, both contain clauses to the following effect: The concessionnaire absolutely and

irrevocably surrenders and renounces all rights and benefits in and under the agreements of 1914, which are henceforth cancelled and annulled; in consideration of this renunciation the High Commissioner grants the new concessions, provided always that, within certain specified times, the concessionnaire forms the companies for the carrying out of the concessions, arranges for the subscription of a fixed portion of the share capital and submits the plans for the works; within three months after the receipt of these plans, the High Commissioner is to notify his approval or disapproval or objections; in the event of disapproval, a special procedure before experts is provided for to prevent the possibility of a deadlock.

Before the signature of the concessionary contracts M. Mavrommatis had, on February 22nd, 1926, already concluded with the Right Honourable Baron Gisborough an agreement according to which he (M. Mavrommatis) transferred to the latter, in the capacity of trustee for the company to be formed by M. Mavrommatis for the exploitation of his future concessions, his rights and benefits in and under those concessions.

The plans referred to by the contracts of February 25th, 1926, were despatched to the High Commissioner by Lord Gisborough on the following April 19th; the High Commissioner acknowledged receipt on May 5th, 1926.

Meantime, the Palestine authorities had on March 5th, 1926, finally granted to Mr. Pinhas Rutenberg a concession for the supply of electricity by the utilization of the waters of the Jordan and Yarmouk; this concession of March 5th, 1926, to which Mr. Rutenberg was entitled under an agreement of September 21st, 1921, contains a clause (20) which corresponds to the clause (29) of the draft concession annexed to the aforesaid agreement, which clause was, according to the Court's Judgment No. 5 of March 26th, 1925, incompatible with M. Mavrommatis' rights; but clause 20 of the final concession to some extent modifies the scope of clause 29 of the draft, and the concession of March 5th, 1926, also contains a clause (3 B) reserving the rights and privileges granted by, amongst others, the concessions granted in 1914 by the Jerusalem Municipality for electric supply and electric tramways, and it has not been denied that this reservation refers to M. Mavrommatis' electricity concession. It should also be mentioned that

Mr. Rutenberg was the holder of a concession, dated September 12th, 1921, for the utilization of the waters of the river El-Audja for the generation of electric power and for irrigation works. Relying on this concession, Mr. Rutenberg objected to permission being given to M. Mavrommatis to take from this river the water required for the water supply of the city of Jerusalem. It has, however, been admitted, in the course of the present proceedings, by both Governments concerned, that this concession did not confer on the holder the right, should the contingency arise, to prevent M. Mavrommatis from using the same source for the purposes of his water concession.

On July 21st, 1926, M. Mavrommatis was informed that his contract with Lord Gisborough was regarded as an absolute assignment of his concessions,—an assignment unwarranted under the terms of the contracts,—and that therefore the deposit of the plans by Lord Gisborough was not accepted as valid. Having in the meantime—August 31st—determined his agreement with Lord Gisborough, M. Mavrommatis, on September 4th, requested the High Commissioner to retain the plans in question as deposited on his, M. Mavrommatis', behalf. The High Commissioner accepted them as so deposited on September 5th. Subsequently the plans for the electricity concession were approved on September 23rd, with certain modifications which were accepted by M. Mavrommatis on October 7th; on the other hand, the plans for the water concession were not approved until December 2nd, 1926.

On the previous day, however, December 1st, M. Mavrommatis had notified the British Government that his plans for the water concession, which he regarded as deposited on May 5th, should have been approved before August 5th; that the failure to approve the plans within the time fixed constituted a breach of the agreements for which he would seek damages; and that with this object in view he was putting himself in communication with his Government. He confirmed this communication by a further letter on December 24th, 1926.

Subsequently, as from January 17th, 1927, the Greek Legation in London, on the instructions of the Greek Government, intervened on behalf of M. Mavrommatis, expressing the earnest hope that His Majesty's Government would examine the matter in a conciliatory spirit. On February 19th, 1927.

however, the Legation hinted at the possibility—failing an amicable settlement—of again instituting proceedings before the Permanent Court of International Justice. The negotiations thus begun did not however lead to an agreement, and on May 23rd, 1927, the Greek Minister in London informed the Foreign Office of his Government's decision once more to have recourse to the Court and to submit to it "the differences which had arisen in the execution of the judgment of March 26th, 1925".

As regards the facts set out above and relating to the question now before the Court, it should be observed that, in accordance with a statement made in Court on behalf of the British Government, the latter accepts in a general way, for the purposes of the proceedings on the plea to the jurisdiction, the facts as given by the Greek Government in its Case.

THE LAW.

Before beginning the examination of the grounds on which the British Government disputes the Court's jurisdiction, it will be well to state in what the submissions of the Greek Government in reality consist—submissions which, in the contention of the British Government, the Court has no jurisdiction to entertain.

The Greek Government having in its Case amended the submissions of the Application, the Court takes as the basis of its examination the submissions of the Case, which are the submissions made in the last document upon which the opposite Party has been able to base his objection.

The submissions in question may be summarized as follows.

It is submitted :

(1) that the British Government, by delaying, regardless of the undertakings of the High Commissioner for Palestine, the approval of the plans submitted by M. Mavrommatis, and by thus preventing the putting into execution of the concessionary contracts of February 25th, 1926, has, in its capacity as Mandatory for Palestine, violated the international obligations incumbent upon it under Article 11 of the Mandate as

construed by the Court; (2) that M. Mavrommatis, by reason of the delays and hostility encountered by him in his dealings with certain British authorities, has unjustly suffered damage for which the British Government is entirely responsible; and (3) that the British Government is bound to make adequate reparation, which is estimated at £217,000, with interest at 6 % from the date of the application until the date of payment.

The arguments advanced by the British Government in support of its objection to the Court's jurisdiction are as follows :

In the first place and in so far as concerns the Greek Government's contention in its Application that the British Government has not complied with Judgment No. 5 (by which the Court recognized the Mavrommatis concessions as valid and decided, in accordance with the Protocol of Lausanne, that they were to be readapted), the British Government objects that there is no provision giving the Court jurisdiction to decide whether one of its judgments has or has not been complied with.

In the second place and in so far as concerns the Greek Government's contention that the British Government, by preventing the putting into operation of the concessionary contracts concluded between the Palestine Administration and M. Mavrommatis on February 25th, 1926, has not complied with the international obligations assumed by the Mandatory, under Article 11 of the Mandate, and consequently has violated the terms of that article, the British Government objects that, under Article 11 of the Mandate, the Court only has jurisdiction to deal with an alleged breach of the international obligations of the Mandatory in so far as such breach results from the manner in which the Palestine Administration has exercised its full power to provide for public ownership or control of any of the natural resources of the country, or of the public works, services or utilities established or to be established therein. Now, the British Government says, there has been no exercise of this power, for no right conflicting with those of M. Mavrommatis has been granted to Mr. Rutenberg, and the fact that there has been delay in the approval

of the plans, even if such delay were due, as contended by the Greek Government, to the hostility of Mr. Rutenberg or of certain British or Palestine officials towards M. Mavrommatis, cannot be regarded as an exercise of this power.

In the third place, and in so far as the violation of Article 11 of the Mandate, alleged by the Greek Government to have taken place, is said to arise from the violation of the Protocol of Lausanne, the British Government objects that this Protocol, in itself, does not confer any jurisdiction upon the Court, and that, in any case, it does not apply in the present matter, as it only relates to the concessionary contracts concluded between M. Mavrommatis and the Turkish authorities in 1914, which contracts have, by common consent of the Parties, been expressly annulled and replaced by those concluded by M. Mavrommatis with the Palestine Administration on February 25th, 1926.

In the alternative, the British Government argues that even if the present dispute were covered by an international instrument involving that Government's consent to the reference of the dispute to the Court, the application should be rejected by reason of the non-fulfilment of a necessary condition precedent, namely, the submission by M. Mavrommatis of his claim to the Courts of England or Palestine which are competent to adjudicate thereon under the municipal law of both countries.

* * *

As regards the first point, it should be observed that the Greek Government, in its Reply to the Preliminary Objection to the Court's jurisdiction, contends that it is wrong to say that its claim is mainly and fundamentally based on the non-fulfilment of the terms of Judgment No. 5; it states that its claim is based solely on the British Government's disregard—in its capacity as Mandatory for Palestine—of its international obligations under Article 11 of the Mandate. Moreover, no special conclusion appears to have been drawn by the Greek Government from the alleged non-fulfilment of the terms of Judgment No. 5, and this point of view has been entirely dropped in the oral proceedings.

In these circumstances, the Court does not find it necessary to consider the question whether, in certain cases, it might have jurisdiction to decide disputes concerning the non-compliance with the terms of one of its judgments.

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Before proceeding to examine the other arguments put forward by the British Government, the Court feels called upon to observe that, although the present suit at first sight would seem to be a continuation of the case decided by Judgments Nos. 2 and 5, it does not follow from this circumstance that the jurisdiction accepted by the Court in Judgment No. 2 also exists as regards the present case. For this case concerns facts which have occurred since these judgments were given, and the solution of the question now before the Court depends upon the nature of these facts in relation to the clauses governing the Court's jurisdiction in the present suit.

* * *

As regards the second argument put forward by the British Government in support of its Preliminary Objection, reference should be made to the construction already placed by the Court upon Articles 11 and 26 of the Mandate for Palestine. For that construction, which is to be found in the Court's Judgments Nos. 2 and 5, already referred to, must undoubtedly be taken into account in the decision of the present case. The Application of May 28th, 1927, in fact, reproaches the British Government for having failed to carry out its international obligations precisely in regard to concessions which the British or Palestine authorities had granted to M. Mavrommatis in accordance with Judgment No. 5, and this—in the contention of the British Government—in order to replace concessions in regard to the disputes concerning which the Court had, in Judgment No. 2, declared itself to have jurisdiction. Again, the Court, which in Judgment No. 2 considered for the first time its jurisdiction under Articles 26 and 11 of the Mandate, examined these articles in that judgment from a general point of view. In the last place, the Parties have in the present

case, and more especially in the oral proceedings, discussed almost exclusively the construction placed by the Court on those articles in Judgments Nos. 2 and 5.

The articles in question are as follows:

Article 11.—"The Administration of Palestine shall take all necessary measures to safeguard the interests of the community in connection with the development of the country, and, subject to any international obligations accepted by the Mandatory, shall have full power to provide for public ownership or control of any of the natural resources of the country or of the public works, services and utilities established or to be established therein. It shall introduce a land system appropriate to the needs of the country, having regard among other things to the desirability of promoting the close settlement and intensive cultivation of the land.

"The Administration may arrange with the Jewish Agency mentioned in Article 4 to construct or operate, upon fair and equitable terms, any public works, services and utilities, and to develop any of the natural resources of the country, in so far as these matters are not directly undertaken by the Administration. Any such arrangements shall provide that no profits distributed by such Agency, directly or indirectly, shall exceed a reasonable rate of interest on the capital, and any further profits shall be utilized by it for the benefit of the country in a manner approved by the Administration."

Article 26.—"The Mandatory agrees that, if any dispute whatever should arise between the Mandatory and another Member of the League of Nations relating to the interpretation or the application of the provisions of the Mandate, such dispute, if it cannot be settled by negotiation, shall be submitted to the Permanent Court of International Justice provided for by Article 14 of the Covenant of the League of Nations."

The Court, in Judgments Nos. 2 and 5, and on the basis of the development of the provisions of the Mandate and of the Treaties of Sèvres and Lausanne, has decided that the

“international obligations accepted by the Mandatory”, within the terms of Article 11, are constituted by the Protocol of Lausanne; but it has expressly stated that the jurisdiction bestowed upon it by Article 26 of the Mandate only covers the interpretation and application of the Protocol in so far as the Mandatory, in the exercise of the full power conferred upon him by Article 11, subject to the international obligations above mentioned, may have disregarded the obligations accepted by him in signing the Protocol. The jurisdiction possessed by the Court as concerns the interpretation and application of the terms of the Mandate does not, therefore, extend to the provisions of the Protocol of Lausanne, except in relation to Article 11 of the Mandate.

The full power, as regards the exercise of which Article 11 makes a reservation, is a full power “to provide for public ownership or control of any of the natural resources of the country or of the public works, services and utilities established or to be established therein”. Since, in the case decided by Judgments Nos. 2 and 5, the question of “public ownership” did not arise but only that of “public control”, the Court confined itself to the interpretation of the latter conception.

In this respect, it came to the conclusion that “public control” means an economic policy consisting in subjecting, in one way or another, private enterprise to public authority. This expression, in Article 11, serves to define a situation which, although it does not take the legal form of ownership, enables the public authorities to exercise certain powers normally inherent in ownership.

It follows that, within the limits fixed by Article 11, power to provide for public control does not mean all the rights generally recognized as belonging to any public administration for the safeguarding of public interests; and that the conception of “public control” must be construed in relation to Article 11 and to the programme for economic development contemplated therein. It also follows that the question whether, in a given case, there has been an exercise of the full power to provide for public control is essentially a question that can only be decided for each particular case as it arises.

That is why the Court, in Judgment No. 2, confined itself to establishing that the High Commissioner for Palestine, when he granted to Mr. Rutenberg, on September 12th, 1921, a concession for electricity and irrigation in the district of Jaffa, and when he undertook, by a contract concluded on September 21st, 1921, also with Mr. Rutenberg, to grant to the latter a concession for the exploitation of the hydraulic power of the Jordan and the Yarmouk, was exercising this full power. The Court came to this conclusion, more particularly because these concessions, which directly or indirectly secured to Mr. Rutenberg a monopoly, were to be worked by companies the formation of which could only be approved by the High Commissioner with the advice and co-operation of the Jewish Agency, which was provided for under Article 4 of the Mandate as a public body designed to co-operate with the Palestine Administration. And the participation of this Agency in the development of the natural resources of the country and in the construction or operation of any public works, services and utilities is precisely contemplated by Article 11 of the Mandate.

Such are the special circumstances which in the Court's opinion have endowed the grant of the Rutenberg concessions with the character of an exercise of the full power to provide for "public control"; but Judgment No. 2 does not fail to state very clearly that the grant of a concession does not in itself constitute an exercise of the full power in question. The right reserved in certain circumstances to the authorities in respect of concessionary undertakings, either by means of administrative regulations or by clauses inserted in the concessionary contracts, to exercise powers of advice and supervision, does not come within the conception of "public control" as used in Article 11.

The Court, after satisfying itself that the Rutenberg concessions of 1921 at least partially overlapped the concessions which were obtained by M. Mavrommatis in 1914 and which, by reason of the date of grant, fell under the terms of the Protocol of Lausanne, accepted jurisdiction in so far as the application of 1924 related to these Mavrommatis concessions. Further, in Judgment No. 5, it decided that Article 29 of the concession promised to Mr. Rutenberg by the contract of

September 21st, 1921, was incompatible with the principle established by the Protocol of Lausanne to the effect that concessions granted by the Turkish authorities before October 29th, 1914, were to be maintained. Only in so far as such incompatibility existed was the Court, in virtue of the jurisdiction which it derives under Article 26 of the Mandate, able to find that there had been a breach of the "international obligations accepted by the Mandatory" and consequently a breach of Article 11 of the Mandate.

In the same connection, the Court stated that it was in virtue of an agreement arrived at between the Parties in the course of the proceedings that it gave a decision upon the question whether Article 4 or Article 6 of the Protocol of Lausanne was applicable to those concessions of M. Mavrommatis, which were to be maintained under the first Article of the Protocol. In regard to this point, the Court also observed that it could only consider other disputes in regard to the application of Articles 4 and 6 of the Protocol of Lausanne in virtue of a further agreement between the Parties "unless such disputes resulted out of the grant of the Rutenberg concession, and to this extent fell within the scope of the jurisdiction obtained, as indicated above, from Articles 26 and 11 of the Mandate"; the same considerations no doubt hold good as regards the whole Protocol.

It is therefore clear that, according to the construction of Articles 11 and 26 of the Mandate established by the Court in Judgments Nos. 2 and 5, in all cases where an alleged breach of the Protocol of Lausanne is the outcome of the exercise of the full power given by Article 11 to provide for "public control", but in these cases only, the Court has jurisdiction under Article 26 of the Mandate to deal with such a breach.

The Court sees no reason to depart from a construction which clearly flows from the previous judgments the reasoning of which it still regards as sound, more especially seeing that the two Parties have shown a disposition to accept the point of view adopted by the Court.

Certain statements made in this connection by the representative of the Greek Government, however, rather tend to

place on Judgment No. 2 an other interpretation than the one accepted by the representative of the British Government. The Court having—as has been stated above—indicated in that judgment that the grant of a concession of public utility is not an exercise of the power to provide for public control within the meaning of Article 11, but that the grant may be accompanied by measures which give it that character, the representative of the Greek Government seems to have held that not only would the grant of a concession of public utility always constitute an exercise of public control, but that any act performed by the administration in connection with the grant of a concession would also have the same character. In regard to this, it will however suffice to say that if that was really his meaning, it would seem to be contrary to the doctrine enunciated in Judgment No. 2 and summarized above.

In considering the second argument put forward by the British Government in support of its objection to the Court's jurisdiction, it therefore remains to ascertain whether the facts alleged by the Greek Government in support of its claim constitute an exercise of the "full power to provide for.... public control" under Article 11 of the Mandate.

The main fact relied on by the Greek Government in this connection is the alleged delay of the High Commissioner in approving the plans which M. Mavrommatis had to submit under the contracts of February 25th, 1926. For the reasons set out above, it is unnecessary for the moment to consider whether this delay would have constituted a breach of the Protocol of Lausanne, because the first question which arises is—as has already been stated—whether there has been an exercise of the full power mentioned in Article 11. In this respect, the following points must be considered:

The grant of the new Mavrommatis concessions and all other steps taken with a view to the readaptation of the old concessions, do not, for the reasons already set out, constitute an exercise of the full power in question. Notwithstanding the numerous powers reserved to the authorities in the 1926 concessions, the latter contain nothing which, according to the

criteria adopted in Judgment No. 2 and retained in the present judgment, constitutes an exercise of the full powers referred to, because the powers reserved all fall within the category of administrative powers in respect of private undertakings to which public services are conceded, and they therefore do not suffice to give the concessions in question the character of an exercise of the full power to provide for "public control", within the meaning attributed to that expression by the Court in Judgment No. 2. It is impossible, therefore, for any violations of the Protocol of Lausanne which may have been committed in the course of the readaptation and by the grant of the new concessions, to be brought within the Court's jurisdiction, as defined by Article 26, on the ground of the exercise of the full power mentioned in Article 11.

Assuming that the attitude of the British and Palestine authorities, which is said to have resulted in the alleged delay, were not legally justifiable, or even were of an entirely arbitrary character, the non-approval of the plans within the time laid down—whether it should be regarded, as argued by the British Government, as a ground for the contention that the terms of the contract, having duly come into effect, have been infringed, or, as argued by the Greek Government, as a ground for maintaining that the contract had ceased to be effective—would not in any case constitute an exercise of the full power to provide for "public control".

Being satisfied as to this point, the Court must still ascertain whether any concessions granted in the exercise of the said full power—and, in the present case, the only concessions which enter into question are those of Mr. Rutenberg—constituted a legal obstacle to the approval of the plans within the required time. If that had been the case, M. Mavrommatis' rights would have been violated by the mere fact of the existence of these concessions, and, although the delay would merely have made manifest the violation, the Court might nevertheless have had jurisdiction. But the Greek Government does not base its conclusions on an alleged incompatibility between the Mavrommatis and Rutenberg concessions.

What the Greek Government really reproaches the British Government with, in respect of the latter concessions, is that the

British and Palestine authorities profited, in its contention, by Mr. Rutenberg's opposition to M. Mavrommatis' utilizing the waters of the El-Audja for his water concession, in order to delay the approval of the plans for that water concession, and that they did not, according to the Greek Government, in order speedily to overcome Mr. Rutenberg's opposition—which the British Government now declares to be unjustified—postpone the final grant to Mr. Rutenberg of the concession promised to him by the contract of September 21st, 1921, for the exploitation of the hydraulic power of the Jordan and Yarmouk. This final grant which took place on March 5th, 1926, may be regarded as an act performed in the exercise of the full power referred to in Article 11. If it had been argued that the concession thus granted overlapped, at least partially, M. Mavrommatis' concessions and infringed the latter's rights, the Court would, in this respect, have been confronted with a situation resembling that with which it had to deal in its Judgment No. 2.

But in the present case, the situation is essentially different. All that the British and Palestine authorities are reproached with is that they did not refuse to grant this concession until Mr. Rutenberg had abandoned his claim to exclude M. Mavrommatis from utilizing the El-Audja. The reservation made by Article 11 in regard to international obligations may—according to the context—only be intended to prevent rights, acquired by private persons and protected by the Protocol of Lausanne, from being disregarded in order to render possible or easy the acquisition or exercise of public ownership or of public control; but it cannot be maintained that this reservation obliges the Mandatory to take advantage of negotiations in progress with the holder of a concession to be granted in the exercise of this full power, in order to bring pressure to bear upon him in favour of another concessionnaire, who claims to be protected by the Protocol of Lausanne.

In point of fact, the Greek Government does not accuse the British Government of having violated M. Mavrommatis' rights by definite action taken under Article 11; it is rather a question of a passive and negative attitude, which is said to constitute the "hostility" referred to in the second submission of the Greek Case as the cause of the unjust injury which, in the Greek Government's contention, has been inflicted.

In the Court's opinion—even admitting that the exercise of the full power mentioned in Article 11 may also take the form of action designed to set aside private ownership and control, thus making possible the acquisition of public ownership and control—, there is no need to consider this hypothesis, seeing that, even *prima facie*, the contentions of the Greek Government do not seem capable of establishing the existence of acts of this nature. In actual fact, however, the assertion that “hostility” has been displayed towards M. Mavrommatis, as made before the Court, simply amounts to the suggestion of a reason for the alleged violation of the 1926 contracts or the alleged failure to carry out those contracts.

The Court therefore arrives at the conclusion that that argument put forward by the British Government in support of its objection to the Court's jurisdiction which has just been examined, is well founded.

* * *

Accordingly, the Court need not concern itself with the third argument set out by the British Government to the effect that the international obligations which are referred to by Article 11 of the Mandate and which are those arising under the Protocol of Lausanne, have nothing to do with the Mavrommatis concessions of 1926. Indeed, as the Court has expressly stated in Judgments Nos. 2 and 5, that Protocol can only be applied by it upon a unilateral application in so far as is required by Article 11 of the Mandate. It was accordingly in virtue of the agreement between the Parties that the Court, in Judgment No. 5, dealt with the question whether the Mavrommatis concessions of 1914 fell to be dealt with under Article 4 instead of under Article 6 of the Protocol. As Article 11 of the Mandate has no bearing upon the present case, the question of applicability of the Protocol of Lausanne is entirely outside the ground for jurisdiction invoked by the Greek Government's Application: only in virtue of a subsequent agreement could the Court consider the question whether there has or has not been a breach of that Protocol arising out of the facts cited in the Application of May 28th, 1927.

In these circumstances, the Court is also not called upon to consider certain points of municipal law bearing upon the provisions of the concessionary contracts of 1926, although these points were discussed at length by the Parties; for they would only be of importance in connection with the present question if the Court had to ascertain what is the relationship between the contracts and the Protocol of Lausanne.

* * *

Similarly, the Court need not consider the legal effect of the alternative ground for the objection taken by the British Government. It will confine itself to recording the statements made at the hearing by the representative of that Government, to the effect that it is open to M. Mavrommatis to obtain reparation by process of law for the damage which he claims to have suffered as a result of the non-fulfilment of the obligations towards him which the High Commissioner for Palestine had accepted under the contracts of February 25th, 1926.

FOR THESE REASONS,

The Court,

having heard both Parties,

by seven votes to four,

upholds the Preliminary Objection taken by His Britannic Majesty's Government in Great Britain denying the Court's jurisdiction to entertain the Application filed by the Greek Government on May 28th, 1927, against the aforesaid Government in its capacity as Mandatory for Palestine.

Done in French and English, the French text being authoritative.

At the Peace Palace, The Hague, this tenth day of October one thousand nine hundred and twenty-seven, in three copies, one of which is to be placed in the archives of

the Court and the others to be forwarded to the Agents of the Governments of His Britannic Majesty and of the Greek Republic respectively.

(Signed) MAX HUBER,
President.

(Signed) Å. HAMMARSKJÖLD,
Registrar.

M. Pessôa, Judge, who had sat from the commencement of the session, took part in the discussions relating to the present suit, but was obliged to leave The Hague before the final draft was accepted; he declared he was unable to agree to the conclusions of the judgment, the Court having, in his opinion, jurisdiction.

MM. Nyholm and Altamira, Judges, and M. Caloyanni, National Judge, declaring that they are unable to concur in the judgment delivered by the Court and availing themselves of the right conferred on them by Article 57 of the Statute, have delivered the separate opinions which follow hereafter.

(Initialed) M. H.

(Initialed) Å. H.